

Baltas and Kosowski (2012) came up with an alternative method for determining absolute momentum trends using a broad data set of 75 futures contracts from December 1975 through February 2013. They compared the usual method of determining absolute momentum that looks at the direction of preceding 12-month returns to an alternative method based on the t-statistic of the slope found by fitting a trend line to daily prices over the past 12 months. Their method reduced the transaction costs of absolute momentum by about two-thirds. The authors found that the Sharpe ratios of the two methods were virtually the same before transaction costs, but that commodity and fixed-income contracts came out ahead under their alternative method once transaction costs were included.

TREND FOLLOWING WITH MOVING AVERAGES

Moving averages have been one of the most popular and longstanding methods among practitioners for determining price trends. Gartley (1935) wrote about moving averages in the 1930s. William Gordon (1968) helped popularize the 200-day moving average. Using data from 1897 through 1967, Gordon showed that buying stocks when the DJIA was above its 200-day moving average produced seven times the return as when the DJIA was below its 200-day moving average.

Once a whipping boy for academic researchers, moving averages for market timing has in recent years gained some acceptance and support. Since 2002, Jeremy Siegel of Wharton has presented the 200-day moving average as a volatility-reducing filter in his popular book *Stocks for the Long Run*. Faber (2007) converted the 200-day moving average into an equivalent 10-month moving average, whereby one holds a long position when the price is above its 10-month moving average and exits the position when the price falls below the 10-month moving average. This cuts down on the number of trades and whipsaw losses that occur when using a daily moving average.

Whether we are talking about a 10-month average or 200-day one, the moving average length does raise some data mining concerns. Brock et al. (1992), Siegel (2014), and Faber (2007) all acknowledge that the 10-month/200-day moving average length has historically been the most